ECO402 MIDTERM PAST PAPER

LECTURE=1-18

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Lesson #1

1: The study which deals with the utilization of limited resources in the production of useful goods and services is called as: Select the correct option

a. Sociology

b. Political science

c. Economics

d. Geography

2. The mathematical representation of economic theory used to make a prediction is called as: Select the correct option

a. Model

b. Formula

c. Identity

d. Equation

3. The geographical area which is used by the sellers and buyers in order to purchase or sale their goods and services is known as: Select the correct option

a. None of the given options

b. Locality

c. Industry

d. Market

4. Which of the following is a normative statement?

Select the correct option

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a. Generally quantity demanded tends to decrease due to increase in the price of the

product. b. Earth revolves around the sun.

c. Proper wage rate should be paid to the auto workers to make them an active member of the society.

d. Percentage of population engaged in agriculture in Pakistan is falling.

5. Which of the following is/are the area/s of study for the macroeconomics? Select the correct option

a. Economic growth

b. All of the given options

c. Inflation

d. Unemployment

6. Which of the following is a positive statement? Select the correct option a. Percentage of population engaged in agriculture in Pakistan is falling.

b. High wage rate should be paid to the auto workers to make them an active member of the society.

c. The basic rights of the people should be protected through democratic institutions. d. Population explosion should be controlled.

Lesson #2

1. **All of the following are factors of production EXCEPT:**
2. **The Production Possibility Frontier (PPF) curve shifts outward as a result of: 3. The Production possibility frontier (PPF) curve is bowed out because the resources are: 4. Suppose an organization opens its branch and buys new tables and chairs. These tables and chairs would most likely be which of the following factors of production?**
5. **Suppose an organization opens its branch and hires new members. These new members would most likely be which of the following factors of production?**
6. **The human effort, physical and mental, used by workers in the production of goods and services is known as labor.**
7. **The Production Possibility Frontier (PPF) curve shifts inward as a result of a technological innovation.**
8. **All the machines, buildings, equipment and roads are included in the category of capital.**

Lesson #3

1. **The real price can be calculated by which of the following formula?**
2. **All of the following are non-price determining variables of demand EXCEPT:**

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3. **Which of the following curve shows how much of a good producer are willing to sell at a given price?**
4. **Changes in quantity supplied are shown by:**
5. **Supply and demand interacts to determine the market-clearing price.**
6. **When cost of labor increases, the supply curve shifts to the right.**

Lesson #4

1. Considering rice as a normal good, if consumers' income increase then the demand curve of rice will: Select the correct option

a. Shift to the right

b. Shift to the left

c. Remain constant

d. Shift to the left initially and then returns to its original position

2. In case of infinitely elastic demand, the demand curve becomes: Select the correct option

a. Horizontal

b. Upward sloping

c. Downward sloping

d. Vertical

3. The supply curve shifts rightward due to improvement in technology. Select the correct option a. FALSE

b. TRUE

4. Income of an individual is non-price determining variable of supply. Select the correct option

a. FALSE

b. TRUE

5. The supply curve for good X will shift leftward due to: Select the correct option

a. An increase in the cost of the machinery used to produce good X

b. A technological improvement in the production of good X

c. A situation in which quantity demanded for good X exceeds quantity supplied for good X

d. A decrease in the wages of workers employed to produce good X

6. Assume that coffee and milk are complements. When the price of coffee goes up, the demand curve for milk: Select the correct option

a. Shifts to the right

b. Shifts to the left

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c. Remains constant

d. Shifts to the right initially and then returns to its original position

· **Formative Assessment**

1. The impact of simultaneous increase in the demand and supply on the equilibrium price and quantity depends upon:

a. The size of change

b. The direction of change

c. The shape of supply and demand curve

d. All of the given options

2. A vertical demand curve has a price elasticity of:

a. Zero

b. Infinity

c. One

d. Less than one

3. When cross elasticity of demand for A and B is positive number, one can conclude that: a. The good are cheaper

b. The good are inferior

c. The goods are substitutes

d. The goods are complements

4. When cross elasticity of demand for A and B is negative number, one can conclude that: a. The good are cheaper

b. The good are inferior

c. The goods are substitutes

d. The goods are complements

5. Consider car and petrol are compliments. When price of petrol goes up, the demand curve for car:

a. Shifts to the left

b. Shifts to the right

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c. Remains constant

d. Shifts to the right initially and then returns to its original position

Lesson #5

1. **The price elasticity of supply is usually positive because:**

Select the correct option:

a. Price and quantity demanded are directly related

b. Price and quantity supplied are directly related

c. Price and quantity supplied are not directly related

d. Price and income are directly related

2. Cross price elasticity of demand for substitutes is negative.

Select the correct option

a. TRUE

b. FALSE

3. Income elasticity of demand measures the percentage change in quantity demanded resulting from a one percent change in income.

Select the correct option:

a. TRUE

b. FALSE

4. Income elasticity of demand is greater than one for:

Select the correct option:

- **a. Inferior good**
- **b. Normal goods**
- **c. Giffen goods**
- **d. Superior goods**
- **Formative Assessment**

1. The income elasticity of demand for superior goods is:

a. Equal to one

b. Greater than one

c. Less than one

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d. Less than zero

2. For which type of goods short-run elasticity is greater than long-run elasticity?

a. Durables

b. Necessities

c. Perishable

d. Substitutes

3. If the percentage change in quantity demanded is equal to the percentage change in price, the demand is said to be:

a. Elastic

b. Inelastic

c. Unit elastic

d. Perfectly elastic

4. The quantity demanded for Rice is expressed as: Qd = 50 - 5PThe quantity supplied of Rice is expressed as: Qs = 18+3PRefer to the above scenario, what is the equilibrium price of rice?

a. 2

b. 4

c. 7

d. 9

5. The quantity demanded for Rice is expressed as: Qd = 50 - 5PThe quantity supplied of Rice is expressed as: Qs = 18+3PRefer to the above scenario, what is the equilibrium quantity of rice?

a. 20

b. 30

c. 35

d. 40

Lesson #6

1. Which of the following are the assumptions regarding consumer preferences?

Select the correct option:

a. Consumers always prefer more of any good to less

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b. Preferences are complete

c. All of the given options are true

d. Preferences are transitive

2. If indifference curve will slope upward then it would violate the assumption that more of any commodity is preferred to less.

Select the correct option:

a. FALSE

b. TRUE

3. The curve that represents all combinations of market baskets that provide the same level of satisfaction to a person is known as: Select the correct option **a. Indifference curve**

b. Angel curve

c. Production possibility frontier (PPF) curve

d. Demand curve

4. Marginal rate of substitution is measured by the slope of: Select the correct option

a. Demand curve

b. Indifference curve

c. Supply curve

d. Production possibility frontier (PPF) curve

· Formative Assessment

1. Which of the following represents the limited income of consumer for the purchase of goods?

a. Iso-cost line

b. Indifference curve

c. Isoquant

d. Budget Constraint

2. Which of the following line shows the different combinations of market baskets that provide same utility to a person?

a. Iso-cost line

b. Indifference curve

c. Isoquant

d. Budget Constraint

3. Generally, the slope of indifference curve is:

a. Downward to the right

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b. Downward to the left

c. Upward to the left

d. Upward to the right

4. The set of indifference curve which describe the preference of a consumer for different utility level is known as:

a. Indifference map

b. Cartesian plane

c. Production possibility frontier

d. Utility map

5. The rate at which a consumer is willing to give up the amount of one good in order to get more of another good is called:

a. Marginal rate of substitution

b. Marginal rate of technical substitution

c. Marginal rate of transformation

d. None of the given options

6. Two goods are perfect complements when the indifference curve between the goods is shaped as:

a. Increasing

b. Decreasing

c. Constant

d. Right angle

Lesson #7

1. Which of the following indicates all combinations of two commodities for which total money spent equals total income: Select the correct option

a. Budget line

b. Indifference curve

c. Angel curve

d. Production possibility frontier

2. Suppose there is an increase in income of consumer, his budget line will: Select the correct option

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a. Shift outward

b. Shift inward

c. Remain same

d. First remain same and then shift inward gradually

3. If the price of one good increases, the budget line shifts outward, pivoting from the other

good's intercept. Select the correct option

a. FALSE

b. TRUE

4. A corner solution exists if a consumer purchases: Select the correct option **a. All of one category of good and none of another**

b. Some of one category of good and some of other

c. None of the given options is true

d. None from any category of goods

Formative Assessment

1. In economics, which one of the following term shows the satisfaction of a consumer obtained from the market basket?

a. Utility

b. Advantage

c. Benefit

d. Pleasure

2. Which of following shows ordering the market basket from most preferred to least preferred?

a. Cardinal utility

b. Ordinal utility

c. Marginal utility

d. Total utility

3. Which of the following shows combinations of two commodities for which total money spent equal to total income?

a. Iso-cost line

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b. Indifference curve

c. Isoquant

d. Budget Line

4. Due to the increase in income, budget line will:

a. Shift Outward

b. Shift Inward

c. Become vertical

d. Remain same

5. In which of the following situation the consumer buys in extreme, buy all of the one commodity and none of other commodity?

a. Corner solution

b. Matching grant

c. Non matching grant

d. None of the given options

Lesson #8

1. Ahmad is spending his income (I) on purchasing food and books. Suppose F is the amount of food purchased and B is the amount of books. If the price of food is Pf and price of books is PB, then Ahmad's budget line can be written as: Select the correct option

a. Pf + PB =I

b. Pf + F =I

c. PfF + PBB=I

d. F+B=I

2. In case of corner solution, the consumer's MRS does not necessarily equal the price ratio. Select the correct option

a. TRUE

b. FALSE

3. Ali is spending his income on two goods X and Y. Which of the following expressions represents that Ali's satisfaction is maximized? Select the correct option

a. PX / PY = Ali's money income

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b. MRSXY is at a maximum

c. MRSXY = Ali's money income

d. MRSXY = PX / PY

4. In case of corner solution, the consumer's MRS does not necessarily equal the price ratio. Select the correct option

a. TRUE

b. FALSE

5. Which of the following expression shows that consumer satisfaction is maximized: Select the correct option

a. Slope of budget line is greater than slope of indifference curve

b. Slope of budget line is equal to the slope of indifference curve

c. Slope of budget line is greater than marginal rate of substitution

d. Slope of budget line is less than slope of indifference curve

6. In case of corner solution, the consumer's MRS does not necessarily equal the price ratio. Select the correct option

a. TRUE

b. FALSE

Lesson #9

1.Usually, the total utility increases at a decreasing rate. This is graphically mentioned by: Select the correct option

a. Negative slope of indifference curve

b. Positive slope of marginal utility curve

c. None of the give options

d. Negative slope of marginal utility curve

2. When a consumer starts consuming a thing, his marginal utility gradually decreases. This is Law of:

3. The additional satisfaction obtained from consuming one additional unit of a good is described as: Select the correct option

a. Total utility

b. Average utility

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c. Marginal utility

d. Equi-marginal utility

4. The additional satisfaction obtained from consuming one additional unit of a good is described as: Select the correct option

a. Total utility

b. Average utility

c. Marginal utility

d. Equi-marginal utility

5. The Paasche Index calculates the amount of money at current-year prices that an individual requires to purchase a current bundle of goods and services divided by the cost of purchasing the same bundle in the base year. Select the correct option

a. FALSE
b. TRUE

Formative Assessment

1. Which of the following concepts measures the additional satisfaction obtained from consuming one additional unit of a good?

a. Total utility

b. Average utility

c. Marginal utility

d. None of the given options

2. According to law of diminishing marginal utility, total utility increases at a/an: a. Constant rate

b. Average rate

c. Increasing rate

d. Decreasing rate

3. Generally, the slope of marginal utility curve is:

a. Zero

b. Positive

c. Negative

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d. Undefined

4. According to law of diminishing marginal utility, as more and more of a good is consumed, consuming additional amounts will yield:

a. Greater additions to utility

b. Smaller additions to utility

c. No additions to utility

d. At first smaller and then larger additions to utility

5. According to the equal marginal principle, the consumer will maximize his satisfaction at the point when the:

a. Marginal utility is equal to average utility

b. Marginal utility is equal to total utility

c. Marginal utility per dollar of expenditure is the same for each good d.

Price of each good is exactly equal to the price of every other good consumed

6. Suppose Ali is consuming two goods (food and clothing). His utility will be maximized when the budget is allocated such that:

a. The ratio of total utility of food to the price of clothing equals the ratio of the marginal utility of clothing to the price of food.

b. The ratio of the marginal utility of food to the price of food equals the ratio of the marginal utility of clothing to the price of clothing.

c. The marginal utility of food equals the marginal utility of clothing.

d. The marginal utility of food times the price of food equals the marginal utility of clothing times the price of clothing.

Lesson #10

1. For normal goods, the income consumption curve is: Select the correct option

a. Positively sloped
b. Vertical
c. Horizontal
d. Negatively sloped

2. What is the shape of Engel curve in case of inferior good? Select the correct option

a. Horizontal

b. Vertical

c. Downward sloping

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d. Upward sloping

3. When a change in the price of one good has no effect on the quantity demanded of the other good, these two goods are considered as: Select the correct option

a. Independent

b. Compliments

c. None of the given options is true

d. Substitutes

4. When the income-consumption curve has a negative slope, the quantity demanded decreases with income. Select the correct option

a. FALSE

b. TRUE

5. If the price consumption curve is downward-sloping, the two goods are considered as substitutes. Select the correct option

a. FALSE

b. TRUE

Formative Assessment

1. For a normal good, income-consumption curve is:

a. Vertical

b. Horizontal

c. Positively sloped

d. Negatively sloped

2. For an inferior good, income-consumption curve is:

a. Vertical

b. Horizontal

c. Positively sloped

d. Negatively sloped

3. Engel curve shows the relationship between quantity of a good consumed with: **a. Income**

b. Price of the good

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c. Price of related goods

d. None of the given options

4. For a normal good, engel curve is:

a. Vertical

b. Horizontal

c. Upward sloping

d. Downward sloping

5. If the price consumption curve between two goods X and Y is downward-sloping, the two goods (X and Y) are considered as:

a. Substitutes

b. Compliments

c. Inferior goods

d. Independent

6. If the price consumption curve between two goods X and Y is upward-sloping, the two goods (X and Y) are considered as:

a. Substitutes

b. Compliments.

c. Inferior goods.

d. Independent.

Lesson #11

1. Which of the following is the formula to calculate point elasticity of demand?

Select the correct option:

a. Point elasticity of demand = (P + Q) (1/slope)
b. Point elasticity of demand = (P/Q) * 100
c. Point elasticity of demand = (P * Q) (1/slope)
d. Point elasticity of demand = (P/Q) (1/slope)

2. When the price of an item declines, the substitution effect always leads to an increase in the quantity of the item demanded. Select the correct option:

a. TRUE

b. FALSE

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3. As more consumers enter the market, the market demand curve will: Select the correct option.

a. Remain same

b. Shift to the right

c. Shift to the left

d. First remain same then shift to the left

Formative Assessment

1. As more consumers enter the market, the market demand curve will: a. Remain same

b. Shift to the left

c. Shift to the right

d. Become horizontal

2. When price increases of a good having inelastic demand, its expenditure: **a. Increases**

b. Decreases

c. Remains unchanged

d. First decreases and then increases

3. When price increases of a good having elastic demand, its expenditure: a. Increases

b. Decreases

c. Remains unchanged

d. First decreases and then increases

5. Arc elasticity calculates elasticity:

a. At a single point

b. Of giffen goods only

c. Of normal goods only

d. Over a range of prices

Lesson #12

For More Detail: VU TEAM HADI: 03087122922

1. If a person's demand for a good is affected by number of other people who have purchased the same good, it is called:

Select the correct option

a. Market Equilibrium

b. Producer Surplus

c. Network Externality

d. Consumer Surplus

2. The snob effect is the desire of a consumer to own exclusive or unique goods. Select the correct option:

a. FALSE

b. TRUE

3. Snob effect is synonymous to: Select the correct option

a. Positive network externality

b. Negative network externality

c. All of the given options

d. Bandwagon Effect

4. Bandwagon effect leads to a leftward shift in the demand curve.

Select the correct option

a. FALSE

b. TRUE

5. The maximum amount a consumer is willing to pay and the amount he actually pays, is called: Select the correct option

a. None of the given options

b. Consumer Surplus

c. Producer Surplus

d. Externality

6. Network externalities can be positive as well as negative. Select the correct option:

a. FALSE

b. TRUE

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Lesson #13

1. The likelihood of occurrence of each outcome is called:

Select the correct option

a. Choice

b. Certainty

c. Probability

d. Risk

2. __________ is the difference between expected payoff and actual payoff. Select the correct option:

a. Probability

b. Expected value

c. Risk

d. Deviation

3. Expected value is the measure of central tendency. Select the correct option

a. TRUE

b. FALSE

4. The greater is the variability from expected value, the lesser will be the risk. Select the correct option

a. FALSE

b. TRUE

5. Standard deviation is the square root of the average of the squares of the deviations of the payoffs from their: Select the correct option

a. Variance

b. None of the given options

c. Probability

d. Expected value

6. Variability is the extent to which possible outcomes of an uncertain event may differ. Select the correct option

a. FALSE

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b. TRUE

Lesson #14

1. ______ is an example of being risk averse.

Select the correct option

a. Use of insurance

b. Criminal activity

c. Gambling

d. Leisure time

2. A person is said to be risk loving if he prefers an uncertain income over a certain income with the same expected value.

Select the correct option

a. TRUE

b. FALSE

3. A person who prefers a certain given income to a risky income with the same expected value is known as: Select the correct option

a. Risk neutral

b. None of the given options

c. Risk averse

d. Risk loving

4. People can be: Select the correct option

a. Risk loving

b. Risk neutral

c. Risk averse

d. All of the given options are true

5. The greater is the variability, the greater will be the risk premium. Select the correct option:

a. TRUE

b. FALSE

Lesson #15

For More Detail: VU TEAM HADI: 03087122922

1. Short-term government bond is an example of :

Select the correct option

a. Riskless asset

b. Risky asset

c. None of the given options

d. Capital gain

2. According to the Law of Large Numbers, the average outcome of many similar events is

non-predictable.

Select the correct option

a. FALSE

b. TRUE

3. By obtaining more information, consumer can _____ the risk. Select the correct option:

a. Increase

b. Not change

c. Decrease

d. Take

4. Return on an asset is the total monetary flow of an asset as a fraction of its: Select the correct option.

a. Demand

b. Supply

c. Price

d. Insurance

5. Capital gain is a decrease in the value of an asset.

Select the correct option

a. FALSE

b. TRUE

6. Something that provides flow of money or services to its owner is called asset. Select the correct option

a. TRUE

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b. FALSE

Lesson #16

1. Average productivity of a firm is found by dividing total output with average output. Select the correct option

a. FALSE

b. TRUE

2. All factors of production are variable in:

Select the correct option

a. Neither in short-run nor in the long-run

b. Short-run

c. Long-run

d. Both short-run and long-run

3. Which of the following is (are) the factor(s) of production?

Select the correct option

a. Labor

b. Capital

c. All of the given options

d. Raw material

4. Technology is assumed to be constant in the production function. Select the correct option

a. FALSE

b. TRUE

Formative Assessment

1. Suppose in a production process, only one variable input (labor) is used with fixed amount of capital. When amount of labor is 10, output is at 120 units. From this we may infer that:

a. The marginal product of labor is 12

b. The total product of labor is 1/2

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c. The average product of labor is 12

d. None of the given options

2. The formula for average product of labor is:

a. Output/Labor Input

b. ΔOutput/ΔLabor Input

c. ΔLabor Input/ΔOutput

d. ΔOutput x ΔLabor Input

3. Which one of the following is correct?

a. The average product of labor (AP) or output per worker increases and then decreases. b. The average product of labor (AP) or output per worker decreases and then increases.

c. The average product of labor (AP) or output per worker becomes constant at first and then decreases.

d. The average product of labor (AP) or output per worker becomes constant at first constant and then increases.

4. Long-run is the amount of time needed to make:

a. All production inputs variable

b. All production inputs fixed

c. Both fixed and variable inputs

d. None of the given options

5. When marginal product is less than average product, average product is: **a. Decreasing**

b. Increasing

c. Maximum

d. Zero

Lesson #17

1. Marginal rate of technical substitution gives the trade-off between factors of production keeping the output to increase. Select the correct option

a. FALSE

b. TRUE

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2. If a firm's output doubles when all inputs are doubled, the firm is said to be experiencing decreasing returns to scale.

Select the correct option

a. FALSE

b. TRUE

3. When output of a firm more than doubles as a result of doubling all the inputs, it is

called:

Select the correct option

a. None of the given options

b. Decreasing returns to scale

c. Constant returns to scale

d. **Increasing returns to scale**

4. Isoquant curves are downward sloping and convex to the origin.

Select the correct option

a. FALSE

b. TRUE

Formative Assessment

1. The change in output due to change in labor input is mathematically estimated as:

a. MPL*ΔL

b. MPL*ΔK

c. MPK*ΔL

d. MPK*ΔK

2. The situation in which doubling the level of inputs produced exactly doubles the output level is called as:

a. Constant returns to scale

b. Increasing returns to scale

c. Decreasing returns to scale

d. None of the given option

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3. In the long run, both labor and capital are:

a. Fixed

b. Variable

c. Fixed and variable

d. None of the given option

4. The situation in which doubling the level of inputs produced more than doubles the output level is called as:

a. Constant returns to scale

b. Increasing returns to scale

c. Decreasing returns to scale

d. None of the given option

5. The situation in which doubling the level of inputs produced less than doubles the output level is called as:

a. Constant returns to scale

b. Increasing returns to scale

c. Decreasing returns to scale

d. None of the given option

Lesson #18

1. Cost associated with the opportunities that are foregone is called: Select the correct option:

a. Accounting

b. Cost Sunk Cost

c. Economic Cost

d. Opportunity cost

2. Fixed cost is the cost that does not vary with the level of output. Select the correct option:

a. TRUE

b. FALSE

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3. Marginal cost (MC) is the cost per unit of output.

Select the correct option

a. TRUE

b. FALSE

4. If total cost is represented by TC, fixed cost by FC and variable cost by VC, then Total cost (TC) is presented by the expression:

Select the correct option

a. TC = FC - VC

b. TC = VC - FC

c. TC = FC + VC

d. TC = VC. FALSE

Formative Assessment

1. The sum of actual expenses and depreciation for capital is called as: a. Economic cost

b. Accounting cost

c. Total cost

d. Variable cost

2. The expenditures that have been made and cannot be recovered are known as:

a. Marginal cost

b. Variable cost

c. Sunk cost

d. Average cost

3. The formula of Marginal Cost is expressed as:

a. $\Delta VC/\Delta Q$

b. $\Delta Q/\Delta TC$

c. $\Delta Q/\Delta VC$

d. $\Delta VC/\Delta Y$

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4. The point where marginal cost is equal to average variable cost, the marginal cost and average variable cost curves are:

a. Maximum

b. Constant

c. Minimum

d. Peak

5. Cost associated with opportunities that are foregone when a firm's resources are not put to their highest-value use is called:

a. Economic cost

b. Accounting cost

c. Sunk cost

d. Opportunity cost

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